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Asia Compass | Asia Pacific

The Rise of China's AI Ecosystem

As September gets underway, markets continue to navigate the tug of war between top-down macro policy and bottom-up corporate earnings. Nvidia, among others, offered another reminder of the sheer earnings power at the corporate level. At the same time, sovereign yields continue to climb, while oil remains sensitive to Strait of Hormuz headlines. We have [raised our oil forecasts](#) and now expect Brent to peak at \$100 in 4Q26.

Looking ahead, the direction of the economy and markets will depend in part on how unresolved crosscurrents across energy, sovereign yields, and foreign exchange play out. Across the region, we are watching the [policy impasse in Japan](#) particularly closely. FX intervention alone cannot resolve the underlying policy dilemma without coordinated fiscal, monetary, and structural measures.

Also on my radar this week was [Andrew Bailey's letter to G20 finance ministers](#) in his capacity as Chair of the Financial Stability Board. It is a two-page read and well worth the time, both for his assessment of market risks, perhaps unsurprising given the FSB's mandate, and for the way he frames the implications of frontier AI models through a financial-stability lens. It is a perspective our industry should pay close attention to, particularly given the interconnectedness of global financial markets and our reliance on shared infrastructure and technology providers.

Staying with AI, Chinese semiconductor localization remains an important theme for us. We launched coverage of CXMT, a company with the potential to reshape global DRAM competition over the next several years.

Magdalena Stoklosa
Director of Pan-Asia Research

MORGAN STANLEY ASIA LIMITED+

Magdalena L Stoklosa, CFA

Director of Pan-Asia Research

Magdalena.Stoklosa@morganstanley.com

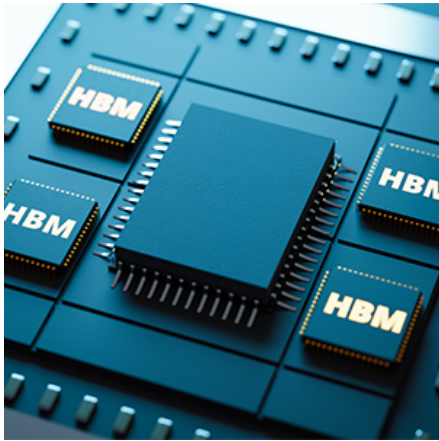
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Three Key Reports: China and AI: The Next Phase



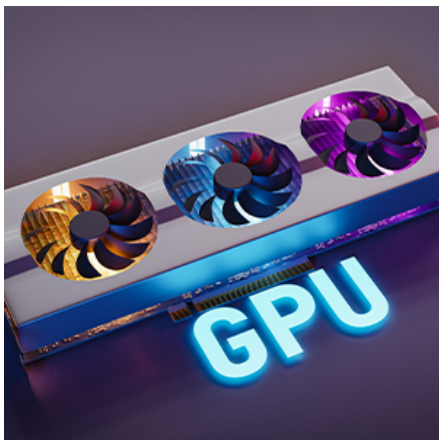
Chinese DRAM Going Mainstream

China's CXMT is emerging as a credible memory-chip rival, scaling capacity amid strong AI, server, and smartphone demand. Its potential move into HBM3E could ease China's AI bottleneck by 2027 and reshape global DRAM competition later this decade.



China AI 2.0 – Entering a New Phase

China's AI story is shifting from catch-up to industrial leadership, using scale, cost efficiency, and rapid deployment to drive productivity and margins. Its manufacturing depth and data advantage could position it to lead in robotics, autonomy, and physical AI.



China's AI Accelerators – Who's Poised to Win?

China's AI GPU market is shifting from policy-led growth to economics and execution. Localization is accelerating as inference demand rises, while cost-per-token gains importance over peak performance, favoring vendors with scale, strong ecosystems, and pricing discipline.

Beyond the Headlines: Funding the AI Buildout Beyond the Balance Sheet



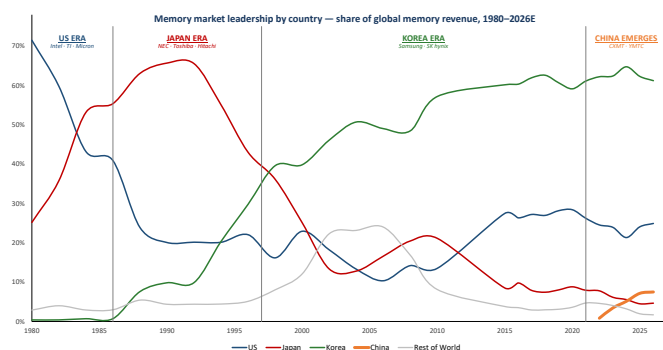
Leases, debt, equity, and purchase commitments extend the data center buildout beyond self-funded hyperscaler cash flow. Each new arrangement, whether on-balance sheet or not, requires committing future cash, and further capex revisions require incremental sources of capital.

[Read more](#)

Not to Be Missed

One Chart You Can't Miss

Exhibit 1: Memory market leadership by country - share of global memory revenue, 1980-2026E



Source: TrendForce, Morgan Stanley Research

Must-Listen Podcast



The New Map of AI Power

AI is becoming a matter of national strategy, as countries seek more control over their own technology. Our Heads of U.S. Public Policy Ariana Salvatore and Global Thematic Research Stephen Byrd look at the race for AI sovereignty and its implications for investors.

We expect volatility to remain heightened and emphasize our wider bull-to-bear spread across the region.

Exhibit 2: Key Market Forecasts and Key Macro Forecasts

Market/Region (Index)	MS Rating	Latest Price	Jun 2027 Index Target						12mf P/E Valuations				
			Bear Case (%)		Base Case (%)		Bull Case (%)		Current	10yr Avg	% +/-		
MSCI Emerging Markets	EW	1,703	1,100		-35.4%	1,800	5.7%	2,200		29.2%	10.2	12.3	-17%
MSCI Asia Pac ex Japan	-	879	590		-32.9%	900	2.4%	1,120		27.4%	11.0	13.6	-19%
Japan (TOPIX)	OW	4,102	2,600		-36.6%	4,300	4.8%	4,900		19.5%	16.3	14.2	15%
China (MSCI China)	EW	74	60		-19.4%	80	7.5%	103		38.4%	10.7	11.8	-9%
China A-Shares (CSI 300)	-	4,553	3,550		-22.0%	4,880	7.2%	6,090		33.8%	13.1	12.4	5%
Hong Kong (Hang Seng)	EW	25,213	18,000		-28.6%	26,550	5.3%	32,400		28.5%	10.4	10.8	-3%
Australia (S&P/ASX 200)	EW	9,020	6,850		-24.1%	9,250	2.5%	10,325		14.5%	18.2	16.5	10%
India (SENSEX)	EW	76,153	66,000		-13.3%	89,000	16.9%	100,000		31.3%	20.5	21.5	-5%
South Korea (KOSPI)	OW	6,579	5,500		-16.4%	9,000	36.8%	10,500		59.6%	5.5	10.4	-47%
Latin America (MSCI LatAm)	-	3,177	2,300		-27.6%	3,600	13.3%	4,700		47.9%	10.0	10.8	-8%
Brazil (Bovespa)	OW	185,188	145,000		-21.7%	240,000	29.6%	280,000		51.2%	8.7	10.4	-16%
Mexico (MEXBOL)	EW	65,436	62,000		-5.3%	80,000	22.3%	90,000		37.5%	12.7	14.3	-11%
USA (S&P 500)	-	7,748	5,900		-23.8%	8,300	7.1%	9,400		21.3%	19.7	19.2	3%
Europe (MSCI Europe)	-	2,591	1,820		-29.8%	2,810	8.5%	3,080		18.9%	14.7	14.3	3%

Source: FactSet, IBES, Morgan Stanley Research estimates. Data as of 3 September, 2026

Exhibit 3: Key Cross-asset Allocation Views

Global Asset Allocation					Relative Equity Allocation					Relative Tsy Allocation				
Equities					US					USTs				
Bonds					Europe					EGBs				
Credit					Japan					JGBs				
Comms					EM									
Cash														

Source: Morgan Stanley Research

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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